

WORKING CAPITAL • B2B RECEIVABLES

Reducing DSO in Commercial B2B

How automation and a professional collection partner compress Days Sales Outstanding, free up trapped working capital, and turn aging receivables back into cash — without adding headcount or upfront cost.

36.8 days

Average DSO for U.S. domestic trade receivables, Q3 2024

43.5 vs 25.1

Median DSO vs. top-quartile DSO (Hackett Group) — leaders collect ~18 days sooner

\$5.6 trillion

Trade receivables held by U.S. non-financial companies; 55%+ of B2B invoices paid late

< 45 days

Common DSO target for a healthy commercial cash cycle

Executive summary

In a commercial B2B operation, every day a dollar sits in receivables is a day that dollar can't make payroll, buy inventory, or fund growth. **Days Sales Outstanding (DSO)** is the single clearest measure of how fast your credit sales convert to cash — and for most companies it is quietly too high. The median business collected in **56 days** in 2024, while top-quartile performers did it in roughly **25 days**. That gap is not a rounding error; it is the difference between a company that self-funds and one that borrows to cover the wait.

This paper does three things. First, it defines DSO precisely and shows how to calculate and benchmark it with worked examples. Second, it explains why receivables age — and what a rising DSO is really telling you. Third, it lays out the two highest-leverage moves for compressing DSO: **automating the front of the receivables cycle**, and **escalating aged accounts to a professional, contingency-based collection partner** before collectability collapses. A 90-day implementation playbook is included on the final page.

The core idea: collectability is a function of time. Industry data shows recovery odds fall sharply after 90 days past due. Compressing the collection timeline — even by a week or two — protects liquidity, reduces write-offs, and lowers the cost of every dollar you eventually collect.

What's inside

1. What DSO is & why it matters • 2. DSO vs. ACP, and how to benchmark • 3. The real cost of a high DSO • 4. Why receivables age • 5. Automation: the fastest path to lower DSO • 6. The agency lever • 7. The 90-day playbook • **FAQ**

1 What DSO is — and why it matters

DSO measures the average number of days it takes to collect payment after a credit sale. Think of it as your company’s payment pulse: a lower DSO means more cash on hand, while a higher DSO means cash is stuck in accounts receivable. For any business selling on net-30, net-60, or net-90 terms, DSO is the earliest, clearest signal of whether customers are actually paying on schedule.

DSO = (Accounts Receivable ÷ Net Credit Sales) × Number of Days

AR = outstanding customer invoices at period end • Days = 30 (month), 90 (quarter), or 365 (year)

Worked example — a trucking company

With **\$150,000** in year-end receivables against **\$1,500,000** in net credit sales: $DSO = (\$150,000 \div \$1,500,000) \times 365 = \mathbf{36.5 \text{ days}}$. That company collects roughly 37 days after invoicing. On net-30 terms, that’s healthy. On net-15, it’s a warning sign hiding in plain sight.

2 DSO vs. ACP, and how to benchmark

Average Collection Period (ACP) is a close cousin of DSO. In most B2B contexts they are effectively synonymous — both answer “how many days to get paid?” The practical guidance: pick one metric, track it consistently, and compare it to your industry and your own trend line. A rising number means collection performance is deteriorating; a falling number means it’s improving.

Aspect	Average Collection Period (ACP)	Days Sales Outstanding (DSO)
Primary focus	Efficiency of the receivables-collection process	Sales-to-cash conversion timeline
Formula	(Average AR ÷ Net Credit Sales) × Days	(AR ÷ Net Credit Sales) × Days
Best use	Internal performance tracking	Benchmarking against industry standards
Reads as	Collection-procedure effectiveness	Overall liquidity & cash-flow health

Where the benchmarks sit

- Hackett Group finds a **median DSO of 43.5 days**, while the **top 25% collect in 25.1 days** — leaders access their cash more than **18 days sooner** than the pack.
- The overall 2024 median across industries was about **56 days**; the Q3 2024 domestic-trade-receivables average was **36.8 days**.
- Most healthy commercial operations target a DSO **under 45 days** — but the right target is industry-specific.

Industry pattern	Typical terms / DSO band
Retail & short-cycle trade	Well under 30 days
Manufacturing & distribution	45–60 days
Consulting, facilities, professional services	Often 90-day terms
Trucking, logistics, construction, oil & gas	Longer cycles — where DSO discipline matters most

Read the gap, not just the number. If you offer net-45 but your DSO sits at 75, customers are taking an extra 30 days to pay. That 30-day gap is the real problem, not the 75-day number. Fix the gap, and you fix the cash flow.

3 The real cost of a high DSO

A high DSO is not an accounting curiosity — it is a working-capital tax. U.S. non-financial companies hold roughly **\$5.6 trillion** in trade receivables, and more than **55% of B2B invoices** are paid late. Every extra day of DSO ties up cash that would otherwise cover payroll, suppliers, or growth. Worse, aged receivables are far less collectible: recovery odds drop sharply after 90 days past due, so a high DSO doesn't just delay cash — it quietly converts a share of it into write-offs.

What a rising DSO is telling you

- Customers facing financial difficulty
- Ineffective or inconsistent follow-up on overdue invoices
- Disputes or billing errors stalling payment
- Credit terms too generous for your risk tolerance

What it costs downstream

- Cash tied up in AR instead of operations
- Borrowing to bridge the collection gap
- Missed early-payment and growth opportunities
- Higher eventual bad-debt exposure

4 Why receivables age

Most extended DSO traces back to a short list of fixable causes: manual billing errors, inconsistent credit policies, a weak follow-up cadence, unresolved disputes, and customer financial stress. The common thread is **time** — each unaddressed day lets an account drift toward the low-recovery zone. The fix is a system that shortens the interval between “invoice issued” and “action taken.”

5 Automation: the fastest path to lower DSO

Automating the front of the receivables cycle compresses cycle time and strips out human error. The highest-yield moves:

- **Invoice on time, every time** — delayed invoicing is self-inflicted DSO.
- **Proactive reminders** before the due date and structured follow-up after it.
- **“Pay Now” links** that remove friction from the moment a customer decides to pay.
- **AI reconciliation** and centralized dispute resolution so disagreements don't become stalls.
- **Tighter credit policy** — credit checks before approval and limits matched to customer strength.
- **Early-payment incentives** — a small 1–2% discount for payment within 10 days can measurably pull cash forward.

Conversational AI now handles roughly **80% of routine debtor inquiries**, freeing skilled collectors to work high-value B2B disputes and complex accounts — the ones where a human, not a workflow, gets the check written.

Automation is necessary but not sufficient: reminders recover the willing-but-busy payer. For accounts that go quiet or dispute in bad faith, you need escalation — which is where a professional partner changes the math.

6 The agency lever: lower cost and lower DSO

When internal follow-up runs out of road, placing aged receivables with a compliant, data-driven collection agency converts stalled AR into cash while removing overhead. The mechanics are simple: when an agency recovers a 120-day-old invoice, that balance leaves your receivables — which **immediately improves your DSO**. Because the model is pure contingency, it does the work without adding fixed cost.

Why it works financially

- **Contingency-only:** most commercial agencies charge **10–25%** of what’s recovered — you pay nothing unless cash comes in.
- **Early-out is cheapest:** accounts under 90 days carry the lowest fees and the highest recovery odds.
- **Credit-bureau leverage:** commercial debts reported to Experian, Equifax, and Dun & Bradstreet create real accountability.

The SWRS approach

- 20+ years focused on B2B collections; **12 offices across seven states**, recovering nationally.
- AI-guided tracking of every promise-to-pay across phone, email, text, and mail — with daily founder involvement.
- Respectful, compliance-first outreach that preserves the customer relationship for when their cash flow recovers.
- Priority sectors: trucking, logistics, contractors, oil & gas, and wholesale distribution.

Escalation rule of thumb: internal follow-up for invoices 15–30 days past due, management involvement at 30–60 days, and professional agency referral once an account passes **60 days** — before collectability drops off the cliff.

7 The 90-day playbook to better cash

Window	Move	Outcome
Weeks 1–2	Map current DSO by segment; standardize payment terms and credit policy.	A baseline and a target.
Weeks 3–4	Automate invoicing and pre-/post-due reminders; add “Pay Now” links.	Fewer self-inflicted delays.
Weeks 5–6	Score and prioritize accounts by risk and value using aging data.	Effort aimed where it pays.
Weeks 7–8	Resolve disputes fast with centralized tracking.	Removes the top “stall” cause.
Weeks 9–10	Escalate non-responsive accounts past 60 days to SWRS.	Aged AR converted to cash.
Weeks 11–12	Review DSO, CEI, and aging distribution; lock in the gains.	A repeatable, lower run-rate DSO.

Metrics that complete the picture

DSO is the headline number, but a few companions make it actionable — track these alongside DSO to see not just *how long* you wait, but *where* the receivables cycle is breaking down.

Metric	What it tells you
Average Days Delinquent (ADD)	How far past terms your <i>overdue</i> accounts really are — DSO’s sharper twin.
Collection Effectiveness Index (CEI)	What share of available receivables you actually collected in a period.
AR Turnover Ratio	How many times you convert receivables to cash per year.
Bad-Debt Ratio & Aging Distribution	How much AR is at risk, and how it’s spread across 30-60-90+ buckets.

Frequently asked questions

What’s a “good” DSO? It varies by industry, but under 45 days is a common healthy target and the 2024 cross-industry median was ~56 days. Benchmark to your sector and, above all, watch your own trend.

Does an agency really lower our DSO? Yes — directly. Recovering an aged invoice removes it from your receivables balance, which mechanically improves the metric, and contingency pricing means you only pay on success.

When should we place an account? The earlier the better once it’s clearly non-responsive. Recovery odds fall fastest after 90 days, so the 60–90 day window is the sweet spot for placement.

Turn a common problem into recovered cash

DSO is one of the few metrics you can move in a single quarter. Tighten the front of the cycle with automation, and escalate the back of it to a partner whose only fee is a share of what they actually collect. The result is a lower, steadier DSO — and cash that shows up when your business needs it.

See how much DSO you can take back

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